ContexAi GROUP | Economic Vibes — Morning Brief
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Morning Edition · PKT

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KSE-100 V	S&P 500 V	US 10Y / 2Y V	BRENT / WTI V	GOLD V	USD/PKR V
164,776.44	▼ 0.02%	5.21 / 4.81	$105.67 / $94.14	$4,160.80	276.96
▼ 0.21% Tue · −347.97 pts	Nasdaq −0.15% · Dow −0.35%	Dec hike odds ease to ~72%	Hormuz risk premium persists	−0.24% · silver $59.09 (−1.82%)	interbank · +Re0.01, steady

01 Five Things You Need To Know To Start Your Day

KSE-100 GIVES BACK 348 POINTS AS KP VOTE SLIPS TO THURSDAY The **KSE-100** opened over 900 points higher on hopes of a quick resolution to the Khyber Pakhtunkhwa crisis, but late selling flipped the session, leaving the index down **347.97 points (−0.21%) to close at 164,776.44** after swinging between an intraday high of 166,070.48 and a low of 164,773.67. Buying held in **autos, cement, banks, oil & gas exploration and OMCs** (LUCK, DGKC, HBL, MCB, MEBL, NBP, OGDC, MARI, PSO all traded green intraday) before profit-taking took hold; market-wide shares traded rose to **383.75 million** from 362.95 million the prior session. The catalyst: the National Assembly and Senate sessions called for 6pm Tuesday did not ratify the KP Governor's Rule as expected — a joint sitting has now been pushed to **Thursday, 15 October at 11am**, extending the political overhang by two more trading days. Business Recorder and Capital News Point confirm the levels. Sentiment: **volatile, politics still unresolved**.

TADAWUL REBOUNDS ABOVE 10,300 AFTER RIYADH AIRPORT ATTACK Saudi Arabia's **Tadawul All-Share Index rose 34.18 points (+0.33%) to close at 10,318.14** on Tuesday, recovering from Monday's attack-driven dip, on turnover of SR3.28bn (~$875m) though breadth stayed soft at 104 advancers to 146 decliners; the parallel Nomu index added 0.37% to 22,030.36 and the MSCI Tadawul 30 gained 0.37% to 1,388.2. The bounce came even as the **Strait of Hormuz/tanker-attack risk overhang** persisted, with Saudi forces reported striking Houthi positions. Arab News and Kitco confirm the moves. Sentiment: **resilient bounce, risk premium intact**.

FED DECEMBER HIKE ODDS EASE TO ~72% AS YIELDS STAY ELEVATED Fed-funds futures now price roughly **72% odds of a December rate hike**, down from last week's ~88% pricing, even as the **10-year Treasury held near 5.21%** and the **2-year near 4.81%** with the 30-year dipping below 5.58%. A softer-but-still-elevated dollar and the persistent Hormuz supply-risk overhang pulled **gold down 0.24% to $4,160.80** and **silver down 1.82% to $59.09** as traders de-risked ahead of Wednesday's US CPI print. Kitco and Trading Economics confirm the pricing. Sentiment: **odds cool slightly, yields still restrictive**.

PAKISTAN'S SEPTEMBER CPI CONFIRMED AT 10.3% AS SBP HOLDS AT 11.5% Pakistan Bureau of Statistics data confirm **September CPI eased to 10.3% y/y** from 11.1% in August, still well above the **SBP's 5–7% target band**; the SBP held its policy rate at **11.5%** at its 14 September meeting for a third straight hold, with the next decision due **26 October**. Three-month **KIBOR** sat at 11.76–12.01% as of 12 October, and **USD/PKR** held virtually flat at 276.96 interbank (+Re0.01). The IMF's **$1.2bn** fourth EFF/third RSF tranche remains pending Executive Board sign-off. **The Nation** and **Trading Economics** confirm the figures. Sentiment: **steady disinflation, policy on hold**.

WALL STREET SLIPS AS CHIP WEAKNESS OFFSETS BANK EARNINGS US stocks closed lower Tuesday as memory-chip weakness and crosscurrents from bank earnings outweighed otherwise solid results: the **Dow fell 0.35% (−180.45 pts) to 51,670.10**, the **S&P 500 slipped 0.02% to 7,805.45** and the **Nasdaq lost 0.15% to 27,204.38**, with traders cautious ahead of Wednesday's inflation print. Separately, **OPEC+ held November output quotas unchanged**, while **Brent settled near $105.67 (+0.8%)** and **WTI near $94.14 (+0.66%)** as the Hormuz/Houthi risk premium persisted. **TheStreet** and **Trading Economics** confirm the details. Sentiment: **cautious, earnings-driven churn**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's tape stayed politically hostage: the **KSE-100** opened over 900 points higher before late selling cut it to a close of **164,776.44**, down 347.97 points (−0.21%), after the National Assembly and Senate sessions summoned for 6pm Tuesday failed to ratify the **KP Governor's Rule** as hoped — PPP has signalled it will back the government's resolution, but a joint sitting is now pushed to **Thursday, 15 October**. Index-heavy names (LUCK, DGKC, HBL, MCB, MEBL, OGDC, PSO) traded green intraday on hopes of a quick resolution, and market-wide volume rose to 383.75m shares from 362.95m, before profit-taking reasserted itself. The macro backdrop stayed constructive: **September CPI confirmed at 10.3% y/y**, the **SBP held at 11.5%** for a third straight meeting, the rupee held flat at **276.96 interbank**, and the **$1.2bn IMF tranche** still awaits Executive Board approval. **Business Recorder** and **The Nation**.

B. GCC & Middle East

Gulf markets stabilised after Monday's security shock: Saudi Arabia's **Tadawul All-Share Index rebounded 0.33% to close at 10,318.14** on SR3.28bn turnover, though breadth stayed soft (104 advancers vs 146 decliners), while the Nomu parallel market added 0.37% and the MSCI Tadawul 30 gained a similar margin — a sign risk appetite is returning even as the **Hormuz/tanker-attack overhang** persists with Saudi forces reportedly striking Houthi positions. **Brent held near $105.67** and **WTI near $94.14** after **OPEC+ kept November quotas unchanged**, giving Gulf energy names a steady tailwind. Diversification momentum stayed intact: **Saudi Arabia's non-oil PMI climbed to 55.3 in September**, its strongest reading since February and a sixth straight month of growth, while the **UAE's non-oil PMI held at 55.3** with output prices rising at their fastest pace in over 15 years. **Arab News** and **The National**.

C. Global Intelligence

Wall Street closed lower Tuesday as memory-chip weakness and mixed bank earnings outweighed an otherwise resilient tape: the **Dow fell 0.35% to 51,670.10**, the **S&P 500 eased 0.02% to 7,805.45** and the **Nasdaq lost 0.15% to 27,204.38**, with traders positioning cautiously ahead of Wednesday's US CPI print. Treasury yields stayed elevated (**10-year 5.21%, 2-year 4.81%**, 30-year just below 5.58%) even as Fed-funds futures trimmed **December hike odds to roughly 72%** from last week's ~88%; the same mix of a softer-but-still-firm dollar and persistent geopolitical risk pulled **gold down 0.24% to $4,160.80** and **silver down 1.82% to $59.09**. Washington's broader funding picture stays parked under the continuing resolution through 11 December, though the narrower **DHS funding lapse** remains unresolved separately. TheStreet and Kitco.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	**KP Governor's Rule ratification** slipped from Tuesday's NA/Senate sessions to a joint sitting now scheduled for Thursday, 15 October; PPP has signalled support while JUI-F has filed a Senate resolution opposing the move.	Banks, Equities, Political-Risk Premium, Security	**Wins:** the federal government and security apparatus retain administrative control pending the delayed vote, and defense-linked sentiment holds firm. **Loses:** banks and broader equities, which absorbed Tuesday's late-session reversal (KSE-100 down 348 points) as the extended political uncertainty pushes the risk premium two more trading days out.
GCC — Saudi Arabia/UAE	**OPEC+'s decision to hold November output quotas steady** continues to anchor Gulf energy supply, alongside the UAE's VAT Executive Regulation amendments (Cabinet Decision No. 149) now in force since 1 October.	Energy, Oil Producers, Banks, Corporates/SMEs	**Wins:** Gulf oil producers and energy equities, which benefit from supply discipline plus the Hormuz/tanker-attack risk premium keeping Brent above $105; large UAE corporates and banks already compliant with the new VAT apportionment rules. **Loses:** UAE SMEs facing heavier VAT-compliance costs, and broader Gulf risk sentiment, which stayed cautious (Tadawul breadth 104 advancers vs 146 decliners) even as the index itself rebounded.
Global	Fed-funds futures trimmed **December hike odds to ~72%** from ~88% a week earlier, while the US continuing resolution funds the government through 11 December alongside an unresolved, narrower DHS funding lapse.	Rate-Sensitive Equities, Treasuries, Precious Metals	**Wins:** near-term funding certainty for the broader government and bond markets as hike odds ease modestly, and energy equities riding the Hormuz risk premium. **Loses:** precious metals (gold −0.24%, silver −1.82% Tuesday) as yields stay elevated, and DHS-linked contractors/agencies still exposed to the unresolved funding lapse.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.
164,000
first floor; deeper support at 162,500 if Thursday's vote disappoints

PIVOT EST.
164,776
Tuesday's close

RESISTANCE EST.
166,070
Tuesday's intraday high; then 167,089 (Friday's close) if the KP vote clears cleanly

Tuesday's reversal — a 900-point intraday swing that still closed 348 points lower — shows the market wants to rally on KP resolution hopes but keeps getting stopped out when the vote slips, as it did again when Thursday's joint sitting replaced Tuesday's expected ratification. The macro base case still argues for a floor: **September CPI at 10.3%**, a steady **SBP rate at 11.5%**, a resilient rupee at 276.96, and a pending **$1.2bn IMF tranche** all work in the index's favour once the political overhang clears. Globally, Tadawul's rebound above 10,300 and softer (but still elevated) Fed hike odds are modest tailwinds,

while persistent Hormuz-driven oil strength is a mixed signal for Pakistan's import bill. **Our stance: stay selective into Thursday's vote, favour index-heavy banks and energy names only on confirmed breadth, and treat any push through 166,070 as a signal to watch for follow-through toward 167,089 rather than a reason to chase.** All levels are indicative desk estimates, not recommendations.

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